

There's anecdotal data, but no growth rate. It's strange really, considering about \$70 billion in investment—from the private sector, domestic and foreign—is expected to pour in as part of the 11th Plan requirement of \$514 billion. No doubt, there is work to be done. Whether it's a clear definition of the word, the need for accountability with a focus on this sector or a regulatory body that combines the best brains in the country, these are all key to a policy that will truly create a framework for an advancing India.

► **Have basic data** There are statistics on agriculture, manufacturing and services, but why is there only anecdotal data on infrastructure? We know that 96 per cent of the Golden Quadrilateral is complete and two airports have been privatised. But why is there no specific growth rate, just like the data on GDP, industry-agriculture services output, inflation and FDI? The only information available is at a 'planned and potential' level. We require one basic parameter to understand what is happening in the infrastructure sector and gross capital formation in infrastructure as a percentage of GDP. The national target is 9 per cent. But neither the Economic Survey nor the Union Budget refer to this figure.

► **Define infrastructure** There are six official entities that attempt to define 'infrastructure', statutorily or otherwise—the Income Tax Department, Department of Economic Affairs in the Ministry of Finance, the RBI, Insurance Regulatory and Development Authority, groups that emerge in outputs from the Planning Commission and the Prime Minister's Committee on Infrastructure. The sector spans three types of economic activity—asset creation, asset maintenance and asset-related services. A clear listing of which activities can be officially classified as infrastructure is important to clear the confusion over the inclusion of social sector

investments in health care, education, housing and agricultural cold-chains in infrastructure.

► **Establish a separate regulatory body** Forming a National Infrastructure Implementation and Monitoring Agency is necessary to identify top 20 infrastructure projects where the expenditure is committed, to closely monitor them and then unclog any obstructions. The agency should have 10 of the best top executives from corporate India and the Government, who should report to the prime minister every week.

► **Have an infrastructure budget every year** Unlike the Railway budget, a colonial legacy, that is presented annually, roads, ports, power and airports don't get that kind of attention. An annual policy and progress statement, presented as an infrastructure budget, will give other segments the deserved focus. The Deepak Parekh Committee Report has suggested seven broad initiatives like development of the domestic debt market, tapping the potential of the insurance sector, facilitating equity flows into infrastructure and utilising foreign exchange reserves. Submitted in May 2007, none of the committee's key suggestions has been implemented so far.

► **Set up a dedicated and empowered infrastructure group** The infrastructure sector wants a group which is able to cut through the ministries. Or it wants a brand-new infrastructure ministry. The sovereign has to play the role of a 'visionary entrepreneur' in this sector. Unlike the 'product-market economy', the sovereign can't discharge its responsibilities by unleashing investor-friendly policies and sit back and govern. It has to be the 'project creator'.

► **Have public-private partnership in rural infrastructure** The Public-Private Partnerships (PPP) model could be applied to rural infrastructure projects such as irrigation canals, cold storages and

rural roads. These projects are financially risky and developers may find it difficult to recover costs purely from user charges. Till now all interventions have broadly been financial like the Viability Gap Fund and the Rs 100-crore Project Development Fund. But they have not worked because there has not been a single rupee disbursement from the gap fund and the states are not enthusiastic about picking up money from the development fund.

► **Set up a land bank corporation** The focus of the State Land Bank Corporations would be to scientifically acquire large tracts of primarily non-cultivable land, develop them as land banks, build appropriate infrastructure linkages and have a transparent mechanism to pass them on to the private sector. The Rehabilitation and Resettlement Bill requirements should be handled by the Land Bank Corporations, the costs of which could be passed on to the private sector.

► **Implement the 74th Amendment** The Constitutional Amendment in 1992 sought to bring about a major change in the functioning of urban local bodies. In many states, these bodies have become weak due to irregular elections, prolonged supersession and inadequate devolution of powers and functions. A model municipal law, developed by the Ministry of Urban Development provides for the establishment of a State Municipal Regulatory Commission to determine user charges as well as to suggest avenues for private sector participation, but this has not been acted upon by any state. Under the amendment, cities and towns would be able to elect representatives regularly and share the state revenues as well. It would change the face of modern India.

as told to Nivedita Mukherjee

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